The RBI can take more of a chance with new players if they get the licence to open only a small bank or to conduct only one segment of banking business. Such differentiated licences – licences with restrictions on the geographical reach or the products offered by a new bank – can generate more organizational variety and efficiency. Small banks tend to be better at catering to local needs, including needs of small and medium businesses. A payments bank, which will take deposits and offer payment and remittance services but be constrained to invest all its funds in safe instruments such as government securities, could be very synergistic with other existing services. For example, the proposed Post Bank could start as a payment bank, making use of post office outlets to raise deposits and make payments.

Key in any new structure is that there should be no arbitrage possibilities hurting the current banking system. Today, a commercial bank can convert itself into a payment bank by maintaining 100 per cent SLR margins. Of course, it may not want to, because it seeks to make more money through corporate lending, but this possibility indicates regulations will not favour a payments bank unduly. Some of my colleagues believe a payments bank will be unviable, while others believe that it will skim the cream of banking business away from regular commercial banks. We can debate this issue for a long time, or we can experiment by allowing a few payments banks and monitoring their performance. The RBI proposes to discuss further steps with stakeholders in this regard.

If payments banks are successful, they will allow us to steadily reduce some of the obligations we impose on commercial banks. For instance, as payments banks hold government securities for liquidity purposes, we can reduce the quantity of government securities we ask commercial banks to hold as part of SLR.